

The bankruptcy rate among twenty-five to thirty-four-year-olds increased between 1991 and 2001 with that age group having the second highest rate of bankruptcy (just after those aged thirty-five to forty-four). And with personal savings at inadequate or nonexistent levels, there is no safety net for these young people. Without sufficient savings, more and more young people look to credit as a source of money when the going gets tough. This adds to their existing debts, and in many cases push them over the edge—landing in bankruptcy court.

This chapter will summarize the actions that several young adults took which led them to file for bankruptcy. Their mistakes included:

- Using credit as an additional source of income
- Not turning to others for help
- Not exploring other options
- Failing to budget an irregular income
- Trying to escape obligations
- Not realizing the power of a credit report

Deadbeat Dad

Credit never should be used as an additional source of income. Never forget that credit is not your money. When you come to rely on credit to pay your bills, you are following a pattern that adds to your debt level. The day will come when the debt level will surpass your ability to pay. When this happens, you might find yourself so deeply in debt that you feel bankruptcy is the only recourse.

Martha never believed that her divorce would end up taking such a huge financial toll on her life. She married Rob during her senior year in college. They planned to wait until they graduated, but they needed to share expenses for financial reasons. Since their parents would never allow them to live together if they were not husband and wife, they tied the knot.

